

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE	)	
COMPANY OF OKLAHOMA, AN	)	
OKLAHOMA CORPORATION, FOR	)	
AN ADJUSTMENT IN ITS RATES AND	)	
CHARGES AND THE ELECTRIC	)	CASE NO. PUD 2025-000075
SERVICE RULES, REGULATIONS AND	)	
CONDITIONS OF SERVICE FOR	)	
ELECTRIC SERVICE IN THE STATE	)	
OF OKLAHOMA AND TO APPROVE	)	
VARIOUS COST RECOVERY	)	
MECHANISMS AND TARIFFS	)	

**EXCEPTIONS OF THE PUBLIC UTILITY DIVISION, THE ATTORNEY GENERAL
AND AARP TO THE REPORT AND RECOMMENDATION OF THE
ADMINISTRATIVE LAW JUDGE - PARAGRAPH 1(k)**

COMES NOW the Public Utility Division of the Oklahoma Corporation Commission (“PUD”), the Attorney General (“AG”) and AARP¹ by and through undersigned counsel, and pursuant to OAC 165:5-13, *et seq.* and the Commission’s scheduling order in this Case, respectfully submits these Exceptions to the *Report and Recommendation of the Administrative Law Judge* filed August 21, 2026 (Entry No. 872) (“ALJ Report”). The Parties except to a single portion of the ALJ Report: the recommendation that the Commission disallow Paragraph 1(k) of the Revenue Requirement Joint Stipulation and Settlement Agreement and direct Public Service Company of Oklahoma (“PSO”) to continue employing the 4CP(A&E) allocation method for transmission and renewable generation costs.

¹ AARP does not join the “alternative relief” sought in Section IV.

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I. INTRODUCTION AND SUMMARY OF EXCEPTION

The ALJ correctly identified the governing principle—that “the goal of cost allocation is to most accurately assign costs to the cost causers”—and then applied a narrower rule that does not follow from it. The ALJ reasoned that because PSO is a summer-peaking system and because transmission systems are “designed to meet peak load,” the four summer coincident peaks necessarily supply the most accurate measure of cost causation. That syllogism, however, omits the contested premise. Whether a system reaches its highest annual load in summer is *not* the same question as whether every dollar of transmission investment is caused by the four hours in which that load occurs.

Five errors warrant reversal. First, the ALJ resolved the cost-causation question on a peak-only theory while leaving unaddressed the unrebutted evidence that transmission facilities are planned, sized, and operated for year-round reliability, resiliency, contingency, and delivery obligations that persist in every month. Second, the ALJ dismissed SPP’s and FERC’s use of 12CP on footprint-size grounds without reconciling that holding with the recommendation, adopted in the same Report, to expand the SPP Transmission Cost Rider under Paragraph 1(e) a rider that recovers charges SPP assesses on a twelve-month basis. Third, the ALJ imposed on the Stipulating Parties a burden to show a “compelling reason to deviate” from prior practice, a standard found nowhere in Title 17 and inconsistent with the Commission’s obligation to set rates that are fair, just, and reasonable on the record before it. Fourth, the ALJ rejected the blended wind and solar allocators in a single paragraph as a corollary of the transmission holding, though the two present distinct methodological questions. And fifth, the uncontroverted cost-of-service evidence establishes that the residential class presently over-contributes 4.30% of the present rate revenue, and that this over-contribution has grown, not narrowed, across four consecutive base rate case

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proceedings. Rates produced by the 4CP allocation are, therefore, not fair, just and reasonable as between the classes, and inconsistent with cost causation principles.

The Parties ask the Commission to sustain this exception and approve Paragraph 1(k) as written. In the alternative, and if the Commission is not prepared to order the change on this record, PUD and the AG ask the Commission to either cap the rate of overcontribution by the residential class to the rate revenue or decline to characterize the record as settled, preserve 4CP(A&E) on an interim and expressly without-prejudice basis, and direct PSO to conduct and file a comprehensive Transmission and Renewable Cost Allocation Study, including class-impact normalization and phase-in mechanics, on the schedule set out in Part IV below. The proposed alternative relief is set out in full in Part V.

II. STANDARD OF REVIEW

The ALJ Report is a recommendation. It does not bind the Commission, which retains full authority to adopt, modify, or reject any finding or conclusion it contains. The Commission exercises general supervision over public utilities and the power to fix and establish rates and to prescribe rules, requirements, and regulations affecting utility service and operations. Okla. Const. art. IX, § 18; 17 O.S. § 152(A). Cost allocation among rate classes is a quintessentially legislative ratemaking judgment committed to the Commission's discretion, reviewable on appeal only for substantial evidence and compliance with law. Okla. Const. art. IX, § 20.

III. ARGUMENT

A. The ALJ's Peak-Only Theory of Transmission Cost Causation Does Not Follow From the Record.

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The evidentiary foundation for the ALJ's recommendation is narrow. The Report cites Purvis (7/1/26 Tr. 166:3-8, 191:9-13) and Khalili (7/1/26 Tr. 143:18-20) for the proposition that PSO is summer peaking; McGovern (Entry No. 171, OCC p. 12:12-16) and M. Garrett (Entry No. 804, p. 20:20-21, 21:1-12) for the same general point; and Blank (7/1/26 Tr. 204:10-24) for the observation that non-summer peaks do not approach the summer peak. Not one of those citations establishes that transmission investment is caused exclusively, or even predominantly, by demand occurring in those four hours.

PSO does not dispute that its system peaks in summer. Neither do these parties. The disputed question is whether a four-hour measurement window captures the drivers of the transmission plant in rate base. On that question, the record contains affirmative and substantial evidence that the ALJ Report acknowledges but does not answer: Purvis testified that while transmission systems are sized to meet peak demand, they are also built for year-round reliability and resiliency. Purvis, 7/1/26 Tr. 164:22–166:8. PSO's own capital record confirms the point. PSO witness Ellis identifies \$169,786,278 in transmission additions since February 29, 2024, categorized as Asset Replacement/Improvement (\$79,648,730), Telecommunications (\$33,635,620), Blanket Programs (\$33,298,388), RTO Mandated (\$11,850,166), and System (Local) Reliability (\$10,411,317). Ellis, Entry No. 20, at 8, JLE Figure 2. For Oklahoma Transco, Asset Replacement/Improvements account for \$201,590,624 of \$236,664,801. *Id.* at 16, JLE Figure 3. Not one dollar in either figure is categorized as driven by summer peak or by load growth. The sole load-related category, Customer Service, is \$942,058—one-half of one percent of PSO's additions—and is negative for Oklahoma Transco. Mr. Ellis explains that these investments were made “to maintain system reliability, to address aging and/or poorly performing assets, to improve system resiliency and to enable service to new or expanded distribution stations,” *id.* at 4, and that

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RTO Mandated projects are “non-discretionary” upgrades “required by the Southwest Power Pool to address reliability violations identified in its planning studies, consistent with NERC reliability standards.” *Id.* at 4–5. A 4CP allocator assigns the entire cost of a multi-year asset replacement program to four hours in a single summer.

The ALJ’s reasoning, that because “the system was built so that it can handle peak load,” peak-hour class contributions “most accurately” measure causation, proves far less than it appears. Sizing and causation are related but distinct. That a facility must be large enough for the peak does not establish that the peak caused the decision to build it, nor that no cost responsibility attaches to the eleven other months in which the facility is used and useful and being paid for.

B. The Report’s Treatment of SPP and FERC Practice Cannot Be Reconciled With Its Approval of Paragraph 1(e).

The ALJ acknowledged that SPP and FERC use 12CP for transmission cost allocation, then set that practice aside on the ground that SPP’s footprint extends well north of Oklahoma, that SPP deals with utilities whose system characteristics may differ from PSO’s, and that the Commission is concerned only with Oklahoma retail transmission charges. Respectfully, that reasoning is in tension with the relief the Report grants elsewhere.

In the same Report, the ALJ recommends approval of Paragraph 1(e), expanding the SPP Transmission Cost Rider, and does so precisely because those “charges are set and assessed by the SPP and are beyond the control of PSO.” The Commission is thus asked to approve a mechanism that flows through to Oklahoma retail customers a cost that SPP assesses using a twelve-month determinant, while simultaneously requiring PSO to allocate that same cost among those customers using a four-hour determinant. The result is a structural mismatch between the basis on which the cost is incurred and the basis on which it is recovered. That mismatch is not merely conceptual.

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The SPPTC Tariff computes the rider factor as SPP expenses multiplied by “the class transmission allocator for each major rate class within the Oklahoma retail jurisdiction approved in PUD Case No. 2025-000075.” Entry No. 30, Application Package, SPPTC Tariff, Sheet No. 75-2. The rider does not merely coexist with the allocator selected here; it multiplies by it. Nor is the affected category marginal. PSO’s own transmission O&M totals \$21,088,327, while Account 565 charges for transmission of electricity by others total \$226,619,798. Ellis, Entry No. 20, at 18, JLE Figure 4. The SPPTC Rider grows in this Case from \$64,725,516 to \$331,453,938. Norwood, Entry No. 173, at 5, Table 1. Whatever the merits of 4CP for PSO-owned distribution-level or local transmission investment, its application to a growing pool of SPP-assessed regional charges assigns to four summer hours a cost that was never billed to PSO on that basis.

The Parties do not contend that the Commission is bound by FERC or SPP methodology; it plainly is not. The Parties contend only that where the Commission is allocating a cost that arrives in Oklahoma already denominated in twelve-month terms, the wholesale billing determinant is evidence of causation rather than an irrelevance to be distinguished by geography.

C. The “Compelling Reason to Deviate” Standard Has No Statutory Basis and Improperly Weights Longevity Over Accuracy.

The Report concludes that “the stipulating parties have failed to show a compelling reason to deviate from the 4CP method of transmission allocation.” That formulation converts prior practice into a presumption and assigns the proponents of change a heightened burden. Neither Title 17 nor the Commission’s rules establish such a standard for cost allocation. The question before the Commission is whether the allocation method produces rates that are fair, just, reasonable, and in the public interest — not whether the party proposing an alternative has cleared a threshold of compulsion.

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The ALJ elsewhere states the correct principle: “The Commission should always be open to reevaluating a long-used allocation method if there is a material change in circumstances that warrants the use of a different method.” The record in this Case describes exactly such changes. Load and weather patterns have shifted. PSO’s resource mix now includes substantial intermittent generation whose contribution to peak differs materially from that of the dispatchable fleet on which the 4CP convention was built. The Commission has before it, in this docket and in the companion large-load proceedings, an emerging class of very large, high-load-factor customers whose consumption is nearly flat across all twelve months, customers whose cost responsibility a four-hour summer allocator systematically understates relative to their year-round use of the transmission system.

PUD witness Purvis testified that this is “especially a concern with PSO’s significant potential additions of over 5,000 MW,” and that the addition of that load “may cause the cross-subsidies to worsen, forcing the residential class to unfairly pay even more costs for the C&I classes and for the new large load customers.” Purvis, Entry No. 172, at 19, ll. 10-19. PSO witness Vaughan confirms the magnitude: more than 5,000 MW of potential new load greater than 75 MW, on top of 1,900 MW under signed contract, which “would more than double the Company’s system peak,” from customers that “expect to operate at very high load factors.” Vaughan, Entry No. 28, at 5–6. Walmart witness McGovern acknowledges that “as system load factor increases (the system gets less peaky), the overall weighting of the average demand portion of the allocator increases,” and that “[a]t a theoretical maximum of 100 percent system load factor, the A&E allocator is essentially an energy allocator.” McGovern, Entry No. 171, at 7, ll. 8–18. Critically, even though a flat-load customer contributes to all twelve-monthly peaks, under 4CP they are measured only in the four months when residential air-conditioning load contributes to overall

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demand. The interaction between the allocator this Commission selects and the large load tariff it approves in the same Order is not incidental.

Finally, the observation that 12CP “has been repeatedly rejected by the Commission” is a statement about history, not about the record in this Case. Prior rejections were made on prior records, before the load, resource, and market conditions now presented.

D. The Blended Wind and Solar Allocators Were Rejected Without Independent Analysis.

Paragraph 1(k) contains three distinct proposals: a 12CP transmission allocator, an 85% energy / 15% demand blended allocator for wind facilities, and a 38% energy / 62% demand blended allocator for solar facilities. The ALJ disposed of the second and third in a single paragraph, reasoning that “the same logic applies” and that a blended allocator, previously approved “in limited circumstances,” should not be extended across the board on this record.

The same logic does not apply. Production and renewable capacity allocation asks a different question than transmission allocation. A blended energy/demand allocator exists because intermittent resources deliver value in two dimensions—capacity contribution at peak and energy output across all hours—in proportions that differ sharply between wind and solar. The 85/15 and 38/62 splits reflect that asymmetry; they are not a 12CP allocator by another name, and their reasonableness does not rise or fall with the transmission holding. Both weights derive from a single source applied twice: the demand component of each blend corresponds to the effective load carrying capability value SPP assigns to summer wind and summer solar resources, respectively. Day, Entry No. 25, at 16, ll. 12–19, and at 17, ll. 1–9 (citing SPP ELCC Wind, Solar & ESR Report, Ex. TAD-2). One methodology, consistently applied, produces demand weights that differ by a factor of four—which is itself the demonstration that a single, undifferentiated holding as to

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“renewables” cannot be correct. Rejecting both because the transmission allocator was rejected leaves PSO allocating a large (and growing) renewable fleet on a convention developed for thermal generation. At minimum, these provisions warrant findings of their own.

E. The Uncontroverted Evidence Establishes that the Residential Class Over-contribution has Grown Across Four Consecutive Base Rate Case Proceedings and, therefore, Rates Produced by the 4CP Allocation are not Fair, Just and Reasonable as Between the Classes.

The principal objection to the 12 CP allocator adopted in the Report of the Administrative Law Judge is methodological. The Commission need not resolve the competing technical merits of the allocator, however, in order to reject the ALJ’s recommendation, because the record supplies an independent and sufficient ground for upholding the Settlement. The uncontroverted cost-of-service evidence establishes that the residential class presently over-contributes 4.30% of its present rate revenue and that this over-contribution has grown, not narrowed, across four consecutive base rate proceedings. Whatever may be said for the 12 CP allocator in the abstract, the record shows what it does here: it leaves the residential’s over-contribution substantially in place. Rates produced by the recommended allocation are therefore not fair, just, and reasonable as between classes, and the Commission should decline to adopt the allocator on that basis alone.

1. The Statutory Test Is Applied to the Rates the Allocation Produces, Not to the Type of the Allocator.

The Commission’s obligation under Okla. Const. art. IX, § 18 and 17 O.S. § 152 is to fix rates that are fair, just, and reasonable and free of undue discrimination. That duty attaches to the rates that emerge from the revenue allocation, not to the internal coherence of the allocator selected to produce them. A cost allocation methodology is a means to cost-based rates; it is not itself the standard. Where the record demonstrates that a methodology fails to deliver rates that reasonably

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track cost causation—and instead perpetuates a documented and widening inter-class subsidy—adherence to that methodology is not a neutral technical choice. It is the adoption of a discriminatory result.

The ALJ's Report endorses the cost causation principle. It does not, however, reconcile that endorsement with the outcome the recommended allocation produces. That gap is the defect. The Commission is not obliged to accept an allocator whose output is inconsistent with the cost-of-service study on which the allocator itself depends.

2. The Record Establishes a 4.30% Residential Over-Contribution and a Worsening Trend.

The magnitude of the disparity is not disputed. Under present rates, the residential class produces operating revenue (according to PSO's filed case) of \$628,843,440 against a parity revenue requirement of \$601,788,274—an over-contribution of \$27,055,166, or 4.30%. Responsive Test. of M. Purvis, 20:14-17, Table MEP-3, 21:1. Expressed as a return, the residential class earns a 1.81% rate of return on rate base against a total company return of 1.00%, a 44.37% excess return over parity. *Id.*

Measured by RROR—which permits comparison across separately conducted cost-of-service studies—the residential class has stood above parity in every recent proceeding and has moved steadily away from it: 1.17 in Cause No. PUD 2021-000055; 1.34 in PUD 2022-000093; 1.32 in PUD 2023-000086; 1.63 as filed in this Cause; and 1.81 on the six-month post-test-year update. *Id.* at 18:1–14; Table MEP-2, 18:15. That is a 37% increase in the residential subsidy burden between the last base rate case and the update in this one. In each of the last two proceedings the Commission established an equalized rate of return, and in each the allocation promptly

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diverged from it. Parity has not merely failed to improve between rate cases—it has deteriorated, and it has deteriorated in one direction.

The beneficiaries are identified in the same record. The C&I Service Level 1, 2, and 3 classes and the Wholesale class each carry a negative RROR, meaning each fails to cover its own cost to serve. *Id.* at 19:1–4. The residential class makes up the difference.

F. The Settlement is Not An *À La Carte* Buffet.

The ALJ improperly treats the Settlement as an *à la carte* buffet from which he can pick and choose his preferred provisions. However, the ALJ’s selection, or rejection, of options from the Settlement entirely disregards the settlement process itself. Parties enter into a settlement as a compromise of their litigated positions and “give” in certain areas in order to “receive” in other areas. The ALJ Report wholly ignores the compromised positions the parties agreed to in reaching a balanced settlement agreement. If the Commission takes an *à la carte* approach to settlements, it risks discouraging the parties from entering into, and participating in, settlements.

Indeed, the terms of the Settlement itself make this clear: “... this Joint Stipulation represents a balancing of positions of each of the Stipulating Parties in consideration for the agreements and commitments made by the other Stipulating Parties...”. Settlement, p. 5. The Settlement goes on to provide that if the entire agreement is not approved, then it is void: “...in the event that the Commission does not approve and adopt the terms of this Joint Stipulation **in total and without modification or condition**...this Joint Stipulation shall be void and of no force and effect... .” *Id.* Finally, it provides that “the Stipulating Parties agree that neither this Joint Stipulation nor any of the provisions hereof shall become effective unless and until the

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Commission enters an order **approving all of the terms and provisions as agreed by the parties to the Joint Stipulation... .” *Id.***

Rejecting 1(k) of the Settlement multiplies the average residential monthly increase *roughly fivefold* over the settled result. That outcome is not a neutral return to the status quo; it is an affirmative reallocation of approximately \$10 per month onto the class least able to absorb it, and it dismantles the bargain on which AARP's participation in the Joint Stipulation rested. To the extent the Commission does not approve paragraph 1(k) of the Settlement, it should review the remaining aspects of the settlement agreement and determine whether there are other aspects and areas of the Settlement in which it can reduce the monthly impact to residential rate payers.

G. The Rate Impact Evidence Supports Approval, Not Rejection.

The Report recites that the stipulated allocators would produce a \$2.45 increase to the average residential bill, “as opposed to a \$9.64 increase or a \$12.09 increase if the 4CP allocation method is maintained.” ALJ Report at 8. Those are not competing estimates. As PSO witness Horeled’s Table 3 shows, \$9.64 is the incremental monthly increase produced by returning both the transmission and the renewable allocators to 4CP(A&E)—\$3.40 attributable to transmission and \$6.24 to renewables—and \$12.09 is the resulting total. Horeled, Entry No. 787, at 9, Table 3; see also Betchan Settlement Testimony, p. 15:8–p. 16:6; Tr. 7/1/26, p. 216:24–217:2; Tr. 7/2/26, p. 54:19-25. Adopting the ALJ’s recommendation as to Paragraph 1(k) therefore raises the average residential bill from \$2.45 to \$12.09 per month—a 4.9-fold increase. The ALJ correctly declined to treat outcome as the sole determinant of an allocator. However, the Report then declines to treat it as any factor at all.

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A four-to-five-fold difference in residential bill impact is not a tiebreaker to be noted and set aside. Gradualism and the avoidance of rate shock are longstanding considerations in Commission rate design, and they were invoked by the parties opposing 12CP on behalf of the commercial and industrial classes. The Commission should apply that principle evenhandedly. If abrupt movement is a reason to reject a change for one class, the magnitude of the increase falling on the residential class under the status quo is entitled to weight as well, particularly where the contention that 4CP “places an unfair burden on the residential class and favors the commercial and industrial classes” was outright acknowledged by the ALJ at page 8 of the Report.

IV. ALTERNATIVE RELIEF: A DIRECTED ALLOCATION STUDY WITH CLASS NORMALIZATION AND COST CAP.

If the Commission concludes that the record is insufficient to order 12CP now, the correct remedy is not to declare the question closed until PSO chooses to raise it again in a future general rate case. The ALJ himself framed the deficiency as evidentiary, “a lack of evidence in the record at this time” and stated that the matter “should be studied further.” A directed study converts that observation into an enforceable obligation and ensures the next record is built on analysis rather than on a renewed contest of assertions.

PUD and the AG therefore request, in the alternative, that the Commission order PSO to conduct and file a Transmission and Renewable Cost Allocation Study addressing, at a minimum, the following:

1. Comparative allocator analysis.
2. Cost-causation study of actual transmission investment.
3. Reconciliation with SPP billing determinants.
4. Load-shape and load-factor analysis by class.

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5. Renewable capacity allocation.
6. Normalization and transition mechanics.

PUD and the AG further request that any Order maintaining 4CP(A&E) state expressly that the method is retained on an interim basis pending the study, that no party is prejudiced in advocating any allocation methodology in any future proceeding, and that the Commission makes no finding that 4CP(A&E) represents the most accurate available measure of transmission cost causation.

Finally, to the extent the Commission rejects the use of 12CP and/or the blended production demand allocator on renewables, PUD and the AG request the Commission adopt a cap on the increase to the residential class. The ALJ expressly acknowledged that "looking at the final outcome of an allocator on a particular rate class may be a factor, but should not be the only factor in determining an appropriate allocator." *Id.* at 9. The ALJ concluded only that the allocator is the wrong instrument for addressing class bill impact—not that class bill impact is immaterial. The Commission should accordingly address it with the instrument designed for that purpose: a cap on the residential total bill impact.

PUD witness Purvis recommended reducing the residential class's overcollection only to 2.15%, rather than to zero, expressly because "PSO illustrated that the revision to the transmission and renewable allocators reduce the residential allocated portions. This is one reason that PUD recommends moving from the current 4.3% overcollection from residential customers down to 2.15%, rather than all the way to 0%." Responsive Testimony of Mary Elizabeth Purvis, Entry No. 172, at 23, ll. 1–4. Purvis calibrated the size of the gradualism adjustment to the presence of the stipulated allocators. Remove the allocators and her own premise requires more residential mitigation, not less — yet the ALJ's recommendation delivers less. Purvis grounded that mitigation

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in settled ratemaking principles, describing the 2.15% midpoint as "an effort to avoid rate shock and reflect[] gradualism while moving towards the proper alignment of cost for each affected rate class," and citing Bonbright, *Principles of Public Utility Rates* (1988 ed.) at 180, 191, 383-84, *Principles #6 and #7. Id.* at 21, ll. 2–11.

AARP witness Mr. Bacalao testified that Oklahoma's residential electric disconnection rate is the highest in the nation at 2.53%, more than three times the national average of 0.78%, Responsive Testimony of Enrique Bacalao, Entry No. 169, at 18, ll. 1–14 (citing U.S. Energy Information Administration, 2024 Residential Utility Disconnections Report (Apr. 2026), tbl. 6), and PSO's residential customers have already absorbed cumulative monthly increases "of up to \$72.28 for the average residential customer since December 28, 2021." *Id.* at 20, l. 12 – p. 21, l. 4. Furthermore, since 2014 residential customers have received, on average, increases of 3.7% per year, and that industrial customers have received, on average, increases of only 1.8% per year, over the same time period. Tr. 7-1-26, pg. 216, ln. 24–25; pg. 217, ln. 1–2. In 2021 (Case No. PUD2021-000055), LPL SL1 customers received a 4.2% rate decrease while residential customers received a 5.2% increase. Tr. 7-2-26, pg. 56, ln. 20–25; pg. 57, ln. 1–25; pg. 58, ln. 1–25. In 2022 (Case No. PUD2022-000093), LPL SL1 customers received a 0% total bill increase, while residential customers received a 2.5% increase. Tr. 7-2-26, pg. 56, ln. 20–25; pg. 57, ln. 1–25; pg. 58, ln. 1–25. In 2023 (Case No. PUD2023-000086), LPL, SL1 customers received a 3% total bill increase, while residential customers received an 8% total bill increase. Therefore, since 2021, SL1 customers have seen a 1.2% decrease in their rates, while residential customers have seen increases of 15.7%. Tr. 7-2-26, pg. 56, ln. 20–25; pg. 57, ln. 1–25; pg. 58, ln. 1–25.

The Commission's authority to implement a cost cap is not in doubt and had been done previously: this "is a legislative proceeding in which the Commission has broad authority to fix

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and establish rates that are just and reasonable," and the Commission "may adopt, reject, restrict, or expand any or all findings and recommendations of the ALJ." Id. ¶ 5, at 5 (*citing* Okla. Const. art. 9, § 18; 17 O.S. § 152; *Matter of Application of Oklahoma Gas & Elec. Co.*, 2018 OK 31, ¶¶ 21-22, 417 P.3d 1196, 1204; *State ex rel. Cartwright v. Oklahoma Natural Gas Co.*, 1982 OK 11, ¶ 8, 640 P.2d 1341, 1343). PUD and the AG, therefore, request that if the Commission disallows paragraph 1(k), it also implement a cap limiting the residential class's total bill impact.

V. CONCLUSION

WHEREFORE, the Public Utility Division, the Attorney General, and AARP respectfully request that the Commission:

- (a) Sustain this exception, reject the ALJ's recommendation as to Paragraph 1(k), and approve the Revenue Requirement Joint Stipulation and Settlement Agreement in its entirety, including the 12CP transmission allocator and the blended wind and solar allocators; or
- (b) To the extent the Commission rejects the use of 12CP and/or the blended production demand allocator on renewables, PUD and the AG request the Commission adopt a cap on the increase to the residential class; or
- (c) In the alternative, with the exception of AARP, order the Transmission and Renewable Cost Allocation Study described in Part IV, retain 4CP(A&E) on an interim and without-prejudice basis pending its completion, and make no finding that 4CP(A&E) is the most accurate measure of cost causation;

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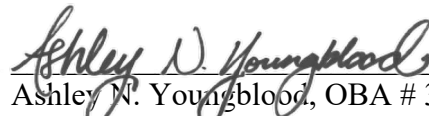
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CERTIFICATE OF SERVICE

This is to certify that on the 1st day of September 2026, a true and correct copy of the above and foregoing *EXCEPTIONS OF THE PUBLIC UTILITY DIVISION, THE ATTORNEY GENERAL AND AARP TO THE REPORT AND RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE - PARAGRAPH 1(k)* was electronically served via the Electronic Case Filing System to those on the Official Electronic Case Filing Service List, or via electronic mail to the following persons:

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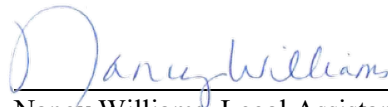
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